



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2024-25
HALF YEARLY EXAMINATION

CLASS: X
SUBJECT: ECONOMIC APPLICATIONS (SET-A)

FULL MARKS: 100
TIME: 2 HOURS

*Answers to this Paper must be written on the paper provided separately.
You will not be allowed to write during the first 15 minutes.
This time is to be spent in reading the Question Paper.
The time given at the head of this Paper is the time allowed for writing the answers.*

*Attempt all questions from Section A and any four questions from Section B.
The intended marks for questions or parts of questions are given in brackets [].
This question paper consists of 6 printed pages.*

SECTION A (40 Marks)
(Attempt all questions from this Section)

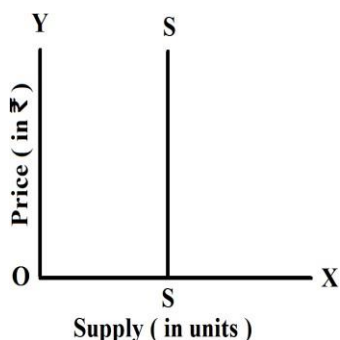
Question 1

[20]

Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- (i) Assertion (A): Cross demand is positive in case of substitute goods.
Reasoning (R): An increase in price of substitute good leads to a decrease in demand for given commodity.
(a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true but R does not explain A
- (ii) The following diagram represents _____ inelastic supply for commodity X:



- (a) Less
(b) Highly
(c) Unitary
(d) Perfectly
- (iii) The income of an entrepreneur is:
(a) Contractual
(b) Always positive
(c) Residual
(d) Always negative
- (iv) Which of these is not a market structure in Economics?
(a) Perfect competition
(b) Monopoly
(c) Monopolistic competition
(d) Intense Competition

- (v) Good X and good Y are complementary goods, while good X and good Z are substitute goods. What will happen to good Y and good Z, if price of good X decreases?
- The demand for both goods, Y and Z, will decrease
 - The demand for both goods, Y and Z, will increase
 - The demand for good Y will increase and for good Z will decrease
 - The demand for good Y will decrease and for good Z will increase
- (vi) 'Ceteris paribus' clause in the law of demand means that the price of the given commodity does not change.
- True
 - False
- (vii) Identify the market form represented in the picture.



- Perfect competition
 - Monopolistic competition
 - Monopoly
 - Monopsony
- (viii) Identify the correct sequence of alternatives given in Column II by matching them with respective items in Column I:

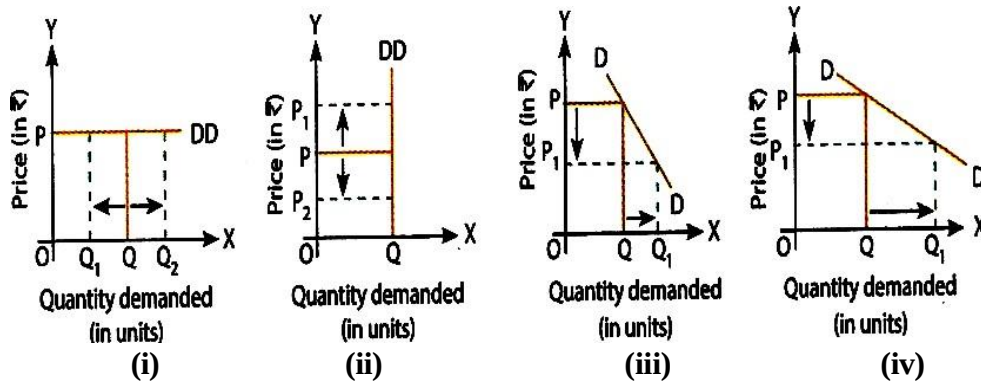
	Column I		Column II
(A)	$E_s > 1$	(i)	Supply curve has an intercept on the X-axis
(B)	$E_s < 1$	(ii)	Supply curve is a horizontal straight line
(C)	$E_s = 1$	(iii)	Supply curve has an intercept on the Y-axis
(D)	$E_s = \infty$	(iv)	Supply curve passes through the origin

- A–(iii), B–(i), C–(iv), D–(ii)
 - A–(iii), B–(iv), C–(i), D–(ii)
 - A–(ii), B–(iv), C–(i), D–(iii)
 - A–(iv), B–(ii), C–(i), D–(iii)
- (ix) Which one of the following is not an essential element of supply?
- Price of the commodity
 - Period of time
 - Willingness to buy
 - Quantity of the commodity
- (x) Identify the specific factor of production showcased in the image.



- Land
- Capital
- Labour
- Entrepreneur

- (xi) Which of the following diagram correctly depicts the situation of Less Elastic Demand?



- (a) (iv) (b) (ii)
(c) (iii) (d) (i)

- (xii) Which of the following will have elastic demand?

- (a) Matchbox (b) NCERT Textbooks
(c) Medicines (d) Air Conditioners

- (xiii) Match the statements given below A with correct options given below B

	A		B
(i)	When it is not possible to postpone consumption	(P)	Demand is relatively elastic.
(ii)	When large number of substitutes are available	(Q)	Demand is relatively inelastic.
(iii)	Normal goods	(R)	Goods whose demand decreases with an increase in income.
(iv)	Inferior goods.	(S)	Goods whose demand increases with an increase in income.

- (a) (i) – Q, (ii) – P, (iii) – S, (iv) – R
(b) (i) – P, (ii) – R, (iii) – S, (iv) – Q
(c) (i) – Q, (ii) – R, (iii) – S, (iv) – P
(d) (i) – P, (ii) – Q, (iii) – R, (iv) – S

- (xiv) Assertion (A): An individual supply curve slopes upward

Reasoning (R): There exists positive relationship between price and quantity supplied.

- (a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true and R does not explain A

- (xv) When the price of a commodity falls by 20%, the quantity supplied decreases by 25%. $E_s = ?$

- (a) 1.25 (b) 0.25
(c) 1.67 (d) 1.20

- (xvi) Which of the following types of capital can be used only for specific purpose?

- (a) Floating capital (b) Money capital
(c) Debt capital (d) Sunk capital

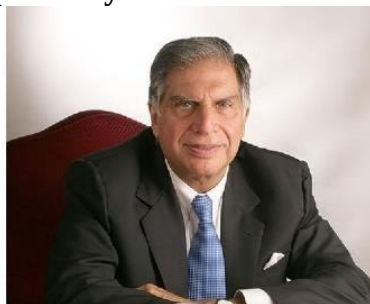
- (xvii) Observe the relationship of the first pair of words and complete the second pair.
Real capital and the machines, debentures:
- (a) Fixed capital (b) Money capital
(c) Debt capital (d) Social capital
- (xviii) Assertion (A): Complementary goods have joint demand.
Reasoning (B): Complementary goods are demanded simultaneously to satisfy a particular want.
- (a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true and R does not explain A
- (xix) The _____ has to decide the reward for each factor of production.
- (a) Organizer (b) Worker
(c) Consumer (d) Entrepreneur
- (xx) Supply of a commodity comprises the entire stock of the commodity.
- (a) True (b) False

Question 2

- (i) A new steel plant comes up in Jharkhand. Many people who were previously unemployed in the area are now employed. How will this affect demand curve for Black and White TV and Colour TV? [2]
- (ii) In order to encourage tourism in Goa, Indian Airlines reduces the air fare to Goa. How will it affect market demand curve for air travel to Goa? [2]
- (iii) Both are human factors of production as showed in the pictures. Is there any difference between them? Explain any two such differences. [2]



(i)



(ii)

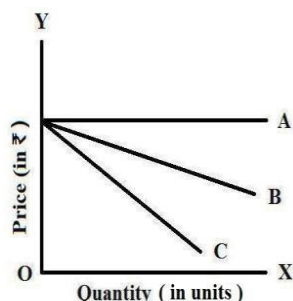
- (iv) There are train and bus services between New Delhi and Jaipur. Suppose that the train fare between the two cities comes down. How will this affect demand curve for bus travel between the two cities? [2]
- (v) The prices and quantities demanded of a commodity are given below. On this basis, find out the price elasticity of demand. [2]

Price (₹)	Quantity (units)
5	100
6	80

Question 3

(i) If a farmer grows rice and wheat, how will an increase in the price of wheat affect the supply curve of rice? [2]

(ii) The following diagram shows the demand curve of three commodities: A, B and C. Rank their price elasticity of demand and explain. [2]



(iii) Ram, an employee and Shyam, an elderly citizen was travelling by train from Delhi to Chennai separately. However, the cost of their tickets is different. Give reasons for the railways charging different prices to different customers. [2]

(iv) What economic measure can the Government take to reduce demand for commodity X which is harmful to health? [2]

(v) The following table shows the demand schedule for 3 consumers in a market. [2]

Price in (₹)	Consumer 1 Demand in (kgs)	Consumer 2 Demand in (kgs)	Consumer 3 Demand in (kgs)	Market Demand
10	1	2	(i) _____	6
8	2	(ii) _____	4	9
6	(iii) _____	4	5	14
5	4	5	6	(iv) _____

Based on the above hypothetical schedule answer the following questions.

- What is the demand of Consumers 3 priced at ₹10 (i)
- What is the demand of Consumers 2 priced at ₹8 (ii)
- What is the demand of Consumers 1 priced at ₹6 (iii)
- Calculate the total market demand priced at ₹5 (iv)

SECTION B (60 Marks)

(Answer any four questions from this Section)

Question 4

(i) What is 'elasticity of supply'? Discuss the following factors determining the elasticity of supply of a commodity. [7]

- Possibility of shift from one line of production to the other
- Time horizon
- Supply of inputs
- Cost of production

(ii) In the realm of economic development, how does role of entrepreneurs impact the overall growth and stability of a nation? [8]

Question 5

- (i) What do you mean by Derived demand? Explain with diagrams the difference between decrease in demand and contraction in demand. [7]
- (ii) In May, the prices of potatoes, onions, and tomatoes led to a rise in the cost of home-cooked meals for the second consecutive month, according to a Crisil report. Factors such as lower onion and potato arrivals, along with crop damage in West Bengal, contributed to the price rise. [8]
Source: ET Bureau, Jun 07, 2024
Explain any four features of the type of market mentioned above.

Question 6

- (i) Somya and her friends have an idea to start selling makeup kits. They already have saved money for the merchandise, models and displays. Since they all own the company, they will work for free. [7]
(a) Name the factor of production which is not mentioned.
(b) Explain any four characteristics of the above factor of production.
- (ii) Describe the following causes of low level of efficiency of workers in India. [8]
(a) Poverty
(b) Poor working conditions
(c) Wages not determined by efficiency
(d) Climate

Question 7

- (i) Define capital in Economics. Discuss any four characteristics of capital. [7]
- (ii) Explain any two advantages and two disadvantages of 'division of labour'. [8]

Question 8

- (i) What do you mean by price elasticity of demand? Describe any three factors that determine elasticity of demand. [7]
- (ii) Give the meaning of industrialization. Explain any three impacts of industrialization on the environment. [8]

Question 9

- (i) Read the extract given below and answer the questions: [7]



The maker of Lux soap and Surf Excel detergent also said the Indian market is seeing a gradual recovery, led by urban areas, but the rural market has remained subdued. Mumbai: Unilever said it will cut product prices in India in a few

categories, such as soaps and laundry, to pass on the benefits of lower commodity prices, boost volumes and compete with local entrants. [Source: ET Bureau: Oct 27, 2023]

- (a) What is the type of market referred to?
(b) Discuss any four characteristics of the market indicated above.
- (ii) Explain any four factors affecting the capital formation in India. [8]